There are three main credit needs of the SHG members.

- **Social Needs:** Food, marriage, birth and death, festivals, family events, education and housing.
- **Production Needs:** Agriculture and Microentrepreneurship etc.
- **Emergency Needs:** Medical, fire, theft, flood, earth quake, cyclone and drought

Objectives of SHG

- To inculcate the savings and banking habits among members.
- To secure them from financial, technical and moral strengths.
- To enable availing of loan for productive process.
- To gain economic prosperity through loan / credit
- To gain collective wisdom in organising and managing their own finance and distributing the benefits among themselves.
- To provide space and support to each other.

9.4.2 Women Empowerment through Self Help Group

In Tamil Nadu Women's Empowerment Project, an IFAD supported project implemented through the Tamil Nadu Women's Development Corporation was the first project in the country, around 1990, to incorporate the SHG concept into a State Sponsored Programme. Since then, SHGs have been associated with women.

Why do they need empowerment?

Women have always been given a secondary status-be it at home or in society. Women still remain poorest of the poor and can never break free from this cycle. Above all, a poor woman is vulnerable, insecure and lacks knowledge

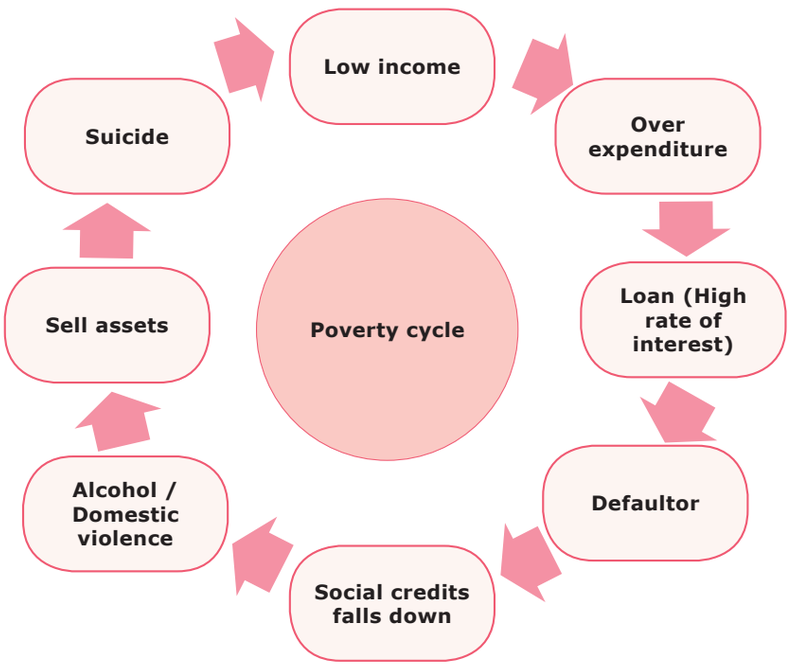


Figure 9.8 Poverty Cycle

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